

		"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (<i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 638 [citations omitted].) Cross-defendants demur on the ground the cross-complaint fails to allege facts representations by King and any reasonable reliance by Nguyen. As discussed above, while Cross-complainant contends he has alleged an agency relationship between King and Le, the cross-complaint does not allege sufficient facts to support the allegation of agency. The Court SUSTAINS the demurrer to the fourth cause of action with leave to amend. Sixth cause of action for constructive trust A constructive trust is an equitable remedy and not an independent cause of action. (See <i>Shoker v. Superior Court of Alameda County</i> (2022) 81 Cal.App.5th 271, 278 [citations omitted]; but see <i>Higgins v. Higgins</i> (2017) 11 Cal.App.5th 648, 659, fn. 2.) Cross-complainant may request this remedy as part of a substantive cause of action. The Court SUSTAINS the demurrer to the sixth cause of action with leave to amend to amend.
2	Nano Banc vs. Cantor Group, III, LLC 2025-01496226 Demurrer to Amended Cross Complaint CMC	Plaintiff/Cross-Defendant Nano Banc's (Plaintiff) Demurrer to the First Amended Cross-Complaint (FACC) of Defendant/ Cross-Complainant Cantor Group III (Defendant) is OVERRULED. Plaintiff's request for judicial notice of Court records and County Recorder's Office records (ROA 143) is granted. (Evid. Code § 452(c), (d).) Legal Standard: At the pleading stage, the Court must liberally construe the complaint, drawing all reasonable inferences in favor of Plaintiffs' asserted claims. (<i>Liapes v. Facebook, Inc.</i> (2023) 95 Cal.App.5th 910, 919.) "[C]ourts may not turn a demurrer into a contested evidentiary matter by determining what the proper interpretation of the evidence is. A court errs when its decision reflects such a consideration of the evidence." (<i>Panterra GP, Inc. v. Superior Court of Kern County</i> (2022) 74 Cal.App.5th

	697, 711.) "A demurrer must dispose of an entire cause of action to be sustained. Thus, a court must overrule a demurrer to a cause of action if it is based on at least one viable theory of liability." (<i>Thompson v. Spitzer</i> (2023) 90 Cal.App.5th 436, 451–452.) "A plaintiff is permitted to plead alternative inconsistent theories." (<i>Dubin v. Robert Newhall Chesebrough Trust</i> (2002) 96 Cal.App.4th 465, 477.) Summary of FACC: The FACC of Defendant (also referred to as "Borrower") is generally based on the following allegations: "This is an action for damages and equitable relief arising out of a concerted and escalating pattern of bad-faith conduct, misrepresentations, and targeted sabotage by the Bank and its senior executives—conduct aimed at harming Borrower and other affiliated borrowers. Despite commitments to restructure and modify a loan facility, the Bank, acting through certain senior officials, obstructed performance, fabricated loan impairments, refused valid borrower payments, and manipulated financial records to facilitate an insider-friendly sale of the Bank. The Bank manufactured a default of the loan facilities at issue in this action by making false promises of prompt restructuring and extension of maturity on improved terms, among other things, and then refused to honor those promises." (¶ 2.) Specifically, Defendant alleges in 2024 it took out commercial loans from Plaintiff secured by deeds of trust in real property in Garden Grove. (¶¶ 12-17.) The parties entered loan modification/extension agreements in late 2024/2025. (¶¶ 18-27.) Defendant alleges these were represented by Plaintiff to be "interim" agreements which would be followed by a further restructuring/extension of the loans more favorable to Defendant. (<i>Id.</i>) However, after the initial modification documents were signed, Plaintiff engaged in an "abrupt reversal" and refused to proceed with the "promised restructuring." (¶¶ 28-31.) Defendant alleges Plaintiff's conduct was part of a scheme by Plaintiff's former Chief Credit Officer Mr. Meitzen to undermine borrowers with ties to a certain consultant (Continuum and Mr. Makhijani), which Meitzen allegedly hoped would help him devalue Defendant's shares, acquire shares at depressed prices, and become CEO. (¶¶ 20, 35-37.) The alleged scheme has included engaging in false and punitive risk assessments for existing loans and refusal to accept valid payments tendered by Defendant. (¶¶ 38-46.) First Cause of Action - Breach Of Contract: The elements of this claim are "(1) the existence of the contract, (2) plaintiff's performance or excuse for
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	nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (<i>D'Arrigo Bros. of California v. United Farmworkers of America</i> (2014) 224 Cal.App.4th 790, 800.) Here, Defendant alleges it has fully performed and/or was excused from performance for its obligations under the loans issued by Plaintiff, but "Cross-Defendant breached the Loan Agreements by willfully and unreasonably refusing to accept valid loan payments and improperly placing Borrower in default of the Loan Agreements." (§ 51.) Plaintiff contends the language of the loan agreements defeats Defendant's claim because the agreements gave it the right to declare default and accelerate the loans if Defendant missed a payment. Plaintiff argues it is undisputed that Defendant defaulted. (Motion, p. 2 and Req. for Jud. Notice, Exs. 2 & 3.) At the pleading stage, however, Defendant has adequately pled Plaintiff's wrongful failure to accept payments and improper placement of Defendant in default, resulting in damages including reputational harm and economic harm related to the loans. Therefore, the demurrer is overruled as to this claim. Second Cause of Action - Breach of Covenant of Good Faith and Fair Dealing; Plaintiff contends this claim is duplicative because it is based on the same allegations as the first claim. However, Defendant has adequately alleged facts which could demonstrate Plaintiff engaged in conduct that frustrated Defendant's ability to receive the benefits of the loan, i.e. refusal to accept Defendant's payments. Therefore, the demurrer is overruled as to this claim. Third Cause of Action - Breach of Implied-In-Fact Contract: This claim is based on Plaintiff's alleged oral misrepresentations that if Defendant completed the "interim" loan modification agreements, Plaintiff would restructure the loans more favorably to Defendant. Defendant alleges it engaged in the initial steps pursuant to the parties' agreement but Plaintiff failed to proceed with restructuring. Plaintiff argues this claim is barred by the statute of frauds, which requires a contract involving an interest in real property to be in writing. (Civ. Code § 1624.) "An implied-in-fact contract is based on the conduct of the parties. (Civ.Code, § 1621.) Like an express contract, an
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	implied-in-fact contract requires an ascertained agreement of the parties. Whether an implied contract exists is usually a question of fact for the trial court. Where evidence is conflicting, or where reasonable conflicting inferences may be drawn from evidence which is not in conflict, a question of fact is presented for decision of the trial court.” (<i>Unilab Corp. v. Angeles-IPA</i> (2016) 244 Cal.App.4th 622, 636.) In opposition, Defendant asserts that, at the pleading stage, Plaintiff has not shown there is no writing reflecting the alleged agreement that could satisfy the statute of frauds. Defendant also argues Civil Code section 1698 estops application of the statute of frauds where doing so would cause unjust enrichment. Construing Defendant’s allegations in a favorable light for purposes of this motion, Defendant has adequately pled an implied-in-fact contract and Plaintiff’s breach thereof which may fall outside the statute of frauds assuming Defendant’s allegations are true. Fourth Cause of Action - Fraudulent Misrepresentation: This claim is based on Plaintiff’s alleged misrepresentations regarding the loan modification summarized above. The elements of fraud are, “(1) a representation, (2) that is false, (3) made with knowledge of its falsity, and (4) with an intent to deceive, coupled with (5) actual detrimental reliance and (6) resulting damage.” (<i>Lim v. The.TV Corp. Internat.</i> (2002) 99 Cal.App.4th 684, 694.) Plaintiff asserts Defendant has failed to plead specific facts regarding the alleged fraudulent statements by Plaintiff’s representatives. Moreover, Plaintiff argues the claim is barred by the economic loss rule, which generally precludes tort claims arising from breach of a contract where there is a contractual remedy that could be pursued. (See <i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 923 [no liability in tort for economic loss caused by negligence in performance or negotiation of a contract between the parties].) “[S]uch claims are barred when they arise from — or are not independent of — the parties’ underlying contracts.” (<i>Ibid.</i>) Here, Defendant has adequately pled the substance of the alleged fraudulent statements and Defendant’s reliance thereon. The claim is sufficiently distinct from Defendant’s contract claim to avoid the economic loss rule at the pleading stage, because it involves alleged fraudulent inducement for Defendant to sign the modification documents rather than breach thereof. Defendant
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		adequately alleges Plaintiff made the representations regarding future restructuring knowing they were false at the time. Defendant is not required to plead the exact date and time of each communication at this stage. Fifth Cause of Action - Negligent Misrepresentation: This claim arises from the same facts as the fourth cause of action but alternatively pleads that Plaintiff's misrepresentations were negligent. The demurrer is overruled as to this claim for the same reasons as the fourth cause of action. Sixth Cause of Action - Violations of Business & Professions Code § 17200: To allege a UCL claim, Defendant must merely plead business conduct that is unlawful, unfair, or fraudulent. (Bus. & Prof. Code § 17200.) As discussed above, Defendant adequately alleges fraudulent conduct regarding the loan modification and restructuring to support a UCL claim.
3	Larson vs. Murphy 2025-01485707 Demurrer to 2nd Amended Complaint Motion to Strike Portions of 2nd Amended Complaint	Defendants Timothy Murphy, Julianne Murphy, and The Murphy Family Trust's Demurrer to the Second Amended Complaint and Motion to Strike is CONTINUED to November 30, 2026, at 1:45 p.m. in department C-15. The parties/counsel have not engaged in sufficient attempts to meet and confer. Defendant is required to meet and confer "in person, by telephone, or by video conference" before filing a demurrer and motion to strike. (Code Civ. Proc., §§ 430.41, 435.5.) No such meet and confer happen here. (See Guarena Decl., ¶¶ 2-5, Exs. 1-4; Shirazi Decl., ¶¶ 3-13, Exs. A-J.) The parties/counsel are ORDERED to engage in additional attempts to meet and confer in person, by telephone, or by video conference regarding the issues raised in the demurrer and motion to strike. Counsel shall discuss whether a third amended complaint would resolve some or all of the issues raised in the demurrer and motion. If so, the parties should submit a stipulation to file an amended complaint. No later than five court days before the continued hearing date, defendants' counsel is ORDERED to file a supplemental declaration describing compliance with this order, including whether any issues were settled by the code compliant meet and confer efforts.